

too? Several of her sisters were stay-at-home moms and their husbands had entry-level jobs. In fact, her brother was a college student just like her. They both were relying on their student loans to support them until graduation. Melinda thought she must have failed as a money manager since everyone else obviously had no problems affording Christmas presents.

Every year Melinda charged her presents on her credit cards. Last year when her credit card bills arrived, she bravely added up her Christmas expenditures. They came to \$900! She had read in the newspaper that the average family spent \$900 for all things related to Christmas (presents, travel, tree, ornaments, food, entertaining, and alcohol). She remembered wondering, when she read that statistic, how anyone could spend so much money for that Yuletide holiday, and here she found herself reconfirming that statistic!

The article had gone on to explain that if only minimum payments of 2.5 percent were made on a \$900 balance at 17 percent interest, it would take eleven years to pay off the balance. The total cost after this time, including interest charges, would be approaching almost double the original amount charged, \$1,748. The most sobering fact was that she would be paying off this Christmas for eight Christmases to come. In fact, Melinda was probably already consecutively paying for many past Christmases since she had always paid by credit from the time she got her first credit card.

The actual cost of borrowing can be quite astounding in the long run, but the true cost of credit is something that few people calculate. As long as they keep making those minimum payments, everything seems under control. In fact, more than half of Americans revolve their credit card balances each month, meaning they do not pay them in full. The Federal Reserve reported that at the end of 2006 Americans owed \$2.4 trillion in total outstanding consumer credit debt (excluding

